

Everyone Wants to Be a Hero

“The toughest thing about success is that you've got to keep on being a success.”

—Irving Berlin

We all want to be good investors. We want to show the world how talented we are. We want to demonstrate that we are not just better than average, but we are elite. We would like nothing better than to go on TV where people would ask our opinion about economics, investing, and the financial news of the day. We want our children to refer to us as being especially smart financially. Nothing would be better than if some day, far in the future, people would look back and say, “What a profoundly talented person he was.” In short, everyone wants to be a hero. And why not? If we're a hero, we can feel good about ourselves.

Sadly, the truth hurts. And the truth is that not everyone can be a hero. This isn't little league baseball, and no, you don't get a trophy just for playing. In fact, very few can be heroes. Even worse, today's hero is often tomorrow's zero. Take a look at the big names in the hedge fund and mutual fund business. When it comes to making money by picking stocks, success is a fleeting phenomenon indeed. A few memorable “heroes” of stockpicking:

Bill Miller: Beat the S&P 500 for 15 years in a row, but got destroyed during the financial crisis, erasing essentially all of his outperformance over the prior 15-year period.

Julian Robertson: Possibly the best stock picker of all time, but was laid low by a poorly timed yen bet, another bad bet on US Air, and then the tech bubble; he liquidated his Tiger fund, which was down as much as 40 percent versus the S&P 500 in 1999.

John Paulson: Merger arbitrage specialist turned macro hedge fund manager. Spectacular gains betting on housing's collapse, followed by spectacular losses on gold and Europe.

We want to warn potential DIY investors to stop worrying about being a hero. Simply stick to the model, and let other people talk about their “heroic” individual stock picks. (These are probably the same people who *always* win money at the casinos!)